

MERTON DAILY BRIEF — Thursday, June 25, 2026

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HEADLINE OF THE DAY

****Black gold erased, Warsh at the helm, extreme fear: the 3 faces of June 25.**** Brent returned to its pre-Iran war level at \$73 - the reopening of Hormuz erases in 10 days what took weeks to build. Kevin Warsh holds his first Fed meeting under Trump's gaze who "loves inflation." S&P 500 bends at -2.04%, silver collapses -12.2%, Fear & Greed drops to 12 - Extreme Fear.

GLOBAL SENTIMENT

- VIX: 17.90 (+3.59%) | Neutral-high
- DXY

UNITED STATES

- PPI May +1.1% (vs +0.7% expected) - Wholesale inflation accelerating post-Iran energy shock
- Fed
- Bank of England holds at 3.75% - peace reduces upside inflation risks
- UK F
- China Bond Relief - Beijing demands "malicious" hedge funds be excluded from debt relief programs

GEO

- Iran: Strait of Hormuz reopening - oil supply shock evaporating

- UK:

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- EUR/USD: 1.135 (-0.93%) - carry compression as US rates fall faster

- GBP

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- Oil: WTI \$69.52 (-7.10%), Brent \$73.04 (-6.24%) - Hormuz reopening crash

- Gold

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- US PCE (consensus +0.2% m/m core) - key test for Fed path

CON

What market is pricing:

- 80% probability of unchanged Fed in July
- Buy silver at \$55 (mean reversion from liquidation)

- Sep

- Buy

We're in a regime of forced liquidation masquerading as a correction. The silver crash (-12% in one day) is not fundamentals - it's crowded positioning being flushed. The Brent return to pre-war levels confirms the Iran risk premium is gone. Warsh's silence is strategic: he doesn't want to box himself in. Position for overshoot reversals in silver and gold.

SOURCES

Yahoo Finance API, ING FX Daily (Chris Turner), Financial Juice, Trading Economics, Bloomberg RSS, FT RSS, CNBC, CFTC COT, CNN Fear & Greed.